

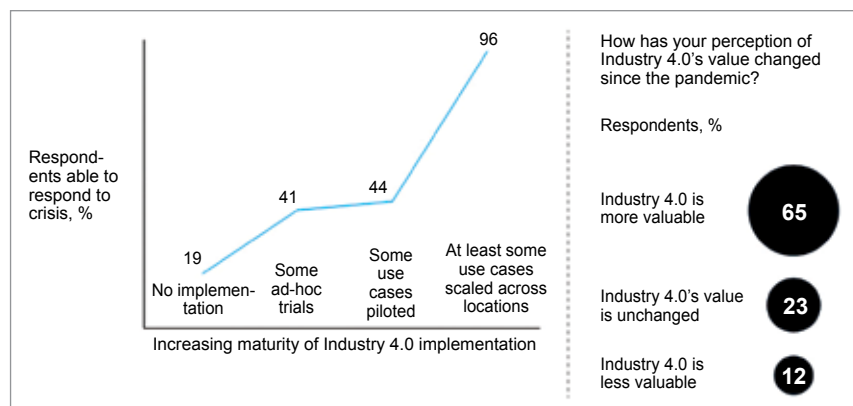


Figure 1: Companies whose Industry 4.0 implementation is more mature report stronger ability to respond to crisis (Source: McKinsey & Company)

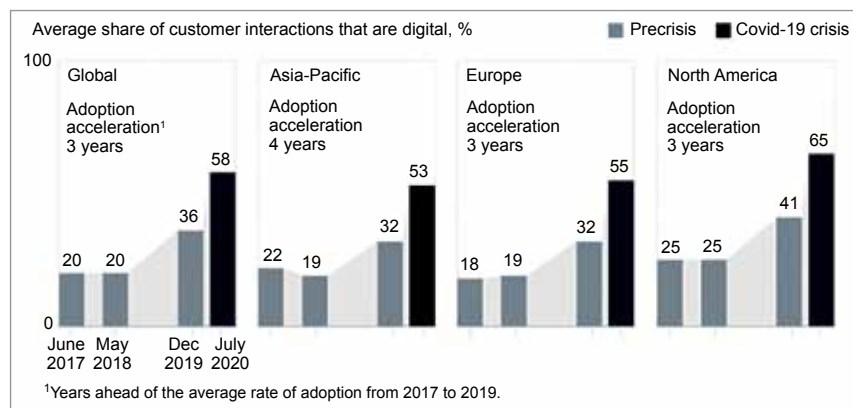


Figure 2: The Covid-19 crisis has accelerated the digitisation of customer interactions by several years (Source: McKinsey & Company)

But there were also many companies that not only managed to survive but also came out as winners in their respective verticals. Most of these had deployed use-cases around leveraging IoT way before the lockdowns were announced, or immediately before the same.

Lakshmanan says, "Digital transformation comes as a very important journey, both for the leaders and the organisations. I have seen examples of companies that, before lockdowns, had big plans for the digital transformation journey, but they had to change plans because of the situations arising due to coronavirus lockdowns."

A report by KPMG has termed Covid-19 as the perfect storm for digital acceleration. This report notes that the Covid-19 pandemic has exposed a clear

digital divide. Those companies which had already invested in digital operating models/enablers have fared much better than those which had not. In fact, for many businesses, the continuity of operations critically depends on their digital capabilities.

No wonder, searches for the terms around the word 'contactless' have seen a jump of more than seven times on different search engines. Deloitte rates this increase as a dramatic uptick in the use of digital technologies that help reduce face-to-face interactions and safeguard customer and employee health and well-being.

Overcoming the challenges

A plethora of challenges fell upon the electronics industry when coronavirus started spreading like wildfire. The biggest of these challenges came in

the form of supply-chain disruptions. Some of these challenges continue to haunt the industry even today. Logistic companies had to close operations on account of lockdowns and only the essential commodities were allowed to be transported from one place to another. As a lot of companies were relying on Chinese companies for supply of critical components used in electronics manufacturing, these challenges became a nightmare as all international flights to and from China were put on hold.

"The massive challenges for our industry have been very common. For IoT, you have to have the hardware piece of it. We were majorly relying on our neighbours for that and once the supply chain disruption hit, the entire ecosystem came to a standstill," informs Shivam Dikshit, vice president, IoTfy.

Another report by McKinsey, accepting the supply-chain challenges, sheds light on six things that can help in bettering operations in the supply chains. These include:

1. Create transparency on multi-tier supply chains by establishing a list of critical components, determining their origin of supply, and identifying alternative sources.
2. Estimate available inventory along the value chain—including spare parts and after-sales stock—for use as a bridge to keep production running and enable delivery to customers.
3. Assess realistic final-customer demand and respond to (or, where possible, contain) shortage-buying behaviour of customers.
4. Optimise production and distribution capacity to ensure employee safety, such as by supplying personal protective equipment (PPE) and engaging with communication teams to share infection-risk levels and work-from-home options. These steps will enable leaders to understand current and projected capacity levels in both workforce and materials.